



Water Rights & the New Groundwater Disclosure

TREC Form 61-0 · Paragraph 7.I of the 20-19 · Back-Up Contract 11-9

Mandatory July 1, 2026 | Prepared for Spyglass Realty · August 26, 2026 | Bradley Patterson, CNAT Title

01 Paragraph 7.I · the decision you now make on every deal

The new water paragraph sits under Property Condition in all five sale contracts, and the **letter moves**: it is ¶7.I in the 20-19 (One to Four), ¶7.F in the 9-18 (Unimproved), ¶7.K in the 23-20 (New Home, Incomplete), ¶7.J in the 24-20 (New Home, Completed), and ¶7.K in the 25-17 (Farm & Ranch). It does **not** appear in the Residential Condominium Contract (30-18).

THREE BOXES. CHECK ONE ONLY.

BOX	WHAT IT MEANS	WHAT IT TRIGGERS
1	Buyer has received the Seller's Water Disclosure	Cleanest path. Best practice: deliver with the listing. No ¶7.I termination right.
2	Buyer has not received it. Seller delivers within ____ days after the Effective Date.	Two live termination rights. See below.
3	Seller is not required to deliver it	Valid only if all five conditions below are true.

BOX 3 · THE FIVE-PART TEST · 7.I(3)

All five must be true. It is an AND list, not an OR list. **One "yes" anywhere means the form is required.**

- a** Seller is not aware of a **water well** on the Property, *in use or not in use*
- b** Seller is not aware of a **pond, lake, or water tank** on the Property
- c** Seller is not aware of any **certificate of adjudication, certified filing, or permit** for surface water rights associated with the Property, administered by the Texas Commission on Environmental Quality
- d** Seller is not aware that any **groundwater rights to the Property have been severed, sold, or leased**, in whole or in part
- e** The Property receives water **only** from a named municipality (City), MUD or other special district, water supply corporation (WSC), or private water supply company (PWC), *and you write in which one*

IF YOU CHECK BOX 2, TWO TERMINATION RIGHTS SWITCH ON

- Never delivered** Buyer may terminate **at any time prior to closing**. Earnest money refunded. This right stays open the entire contract.
- Once delivered** Buyer may terminate **for any reason within 7 days** after receipt, or prior to closing, whichever first occurs. Earnest money refunded.

Same architecture as Paragraph 7.B for the Seller's Disclosure Notice. If you know 7.B, you know 7.I. Both rights live inside Box 2; Box 1 opens no 7.I termination right.

02 Six questions for the listing appointment

Ask these before you open any form. **All six clean** → Box 3 is likely available. **Any one unclear** → deliver the form.

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- ☐ Is there a well on this property, **even one that hasn't run in years?**
 - ☐ Is there a pond, tank, or low spot that holds water, **even seasonally?**
 - ☐ Where does your water actually come from? **Who do you write the check to?**
 - ☐ Is any of your water shared with a neighbor, or coming from off this property?
 - ☐ Did you or a prior owner ever sell, lease, or reserve the water rights?
 - ☐ Do you have any TCEQ paperwork: a permit, certified filing, or certificate of adjudication?
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03 TREC Form 61-0 • question map

Seller's Disclosure About Groundwater and Surface Water Rights · form dated 05-04-2026 · adopted by rule 22 TAC §537.68. TREC dropped the proposed "Water Notice:" prefix at adoption; the title above is the official one.

THE BANNER SETS THE STANDARD

THIS NOTICE IS A DISCLOSURE OF SELLER'S KNOWLEDGE ABOUT GROUNDWATER AND SURFACE WATER RIGHTS ON THE PROPERTY AS OF THE DATE SIGNED BY SELLER AND IS NOT A SUBSTITUTE FOR ANY INSPECTIONS OR WARRANTIES THE BUYER MAY WISH TO OBTAIN. IT IS NOT A WARRANTY OF ANY KIND BY SELLER OR SELLER'S AGENTS.

DEFINITIONS THAT CARRY WEIGHT

Groundwater	Water percolating below the surface. Unless severed from the surface estate, the surface landowner owns it.
Groundwater District	A groundwater conservation district, underground water conservation district, subsidence district , or other special district or authority that regulates drilling or operation of water wells. <i>Not all Texas land is in one.</i>
Surface Water	Lakes, rivers, creeks, streams, bays, estuaries, arms of the Gulf.
Surface Water Rights	A TCEQ permit, certified filing, or certificate of adjudication. <i>Not every use of surface water requires one.</i>
Water Well	Any artificial excavation drilled or dug to explore for or produce groundwater. Subdividing a property may affect well rights.

SECTION 2 • GROUNDWATER & WATER WELLS

2(A)	Is any portion in a Groundwater District? Yes / No / Unknown , the only "Unknown" box on the form. If yes: name the district and give its website.
2(B)	Wells on the Property? If yes: total known to Seller · number in use · number not in use and capped, covered, plugged, or abandoned · district registration or permit numbers.
2(C)	Owned or operated solely by Seller for the sole benefit of the Property, <i>or</i> list each well's owners and operators, beneficiary, and the governing agreement or understanding .
2(D)	Does the Property get water from a well on <i>another</i> property? (Utility or municipal supply doesn't count here.)
2(E)	Does a well here rely on groundwater rights owned or leased from land <i>outside</i> the boundaries?
2(F)	Have groundwater rights been severed, sold, or leased, with or without the right to drill?

SECTION 3 • SURFACE WATER

3(A)	Does Seller own a Surface Water Right? If yes: identify it by its permit, filing, or certification of adjudication number, and if multiple owners, name each and their respective ownership interest.
3(B)	Pond, lake, or water tank, " whether currently with or without water. " A dry stock tank is a yes . This kills more Box 3 exemptions than anything else.

YOU DO

Deliver the form early. Explain each question plainly.
Point the seller to records. Document delivery. Escalate any "yes" to title and counsel.

YOU DO NOT

Answer for the seller. Interpret water law. Decide whether Box 3 applies. Fill in a district you didn't verify. *"I don't know" is a research task, not an answer.*

04 District lookup • two minutes

District boundaries do not follow county lines, city limits, or ZIP codes. Texas has **98 GCDs covering roughly 70% of the state** (TWDB), and partial-county coverage is normal in Central Texas. Never answer 2(A) from memory.

STEP	SOURCE
Is it in a district?	TCEQ statewide Groundwater Conservation District map (current edition March 2026) tceq.texas.gov/goto/gcd
Which district?	Texas Water Development Board district directory twdb.texas.gov/groundwater/conservation_districts/
Website for 2(A)	Texas Alliance of Groundwater Districts member list: contacts and websites texasgroundwater.org/members/current-members/district-members/
Wells on record?	TWDB Submitted Drillers Reports: search by address or owner (records since ~2003; older reports are in TCEQ's Water Well Report Viewer) twdb.texas.gov/groundwater/data/drillersdb.asp
Then	Call the district. They will confirm boundaries and registered wells at no charge.

EDWARDS AQUIFER WRINKLE

Subsidence districts and the Edwards Aquifer Authority are not groundwater conservation districts as defined under Chapter 36, Texas Water Code, but they can regulate production, and TREC's definition on Form 61-0 is written wide enough to capture them. Don't let "the EAA isn't a GCD" become a **No** on 2(A).

05 Back-Up Contract • TREC 11-9

Mandatory July 1, 2026 • rule 22 TAC §537.22

PARAGRAPH H	BEFORE (11-8)	NOW (11-9)
Amended Effective Date	Date Buyer receives notice that the First Contract terminated	Date Seller delivers notice that the First Contract terminated
Defined terms	"Option Fee," "Earnest Money," "Contract" capitalized	Lowercase; not defined terms
Legal Holiday • Effective Date	lowercase	Capitalized; Legal Holiday is now defined in ¶5A(2) of the contract

WHY IT MATTERS

Additional earnest money and additional option fee are due within ____ days *after* the Amended Effective Date (¶A(2)). Moving the trigger from receipt to delivery starts the clock earlier and shortens your buyer's runway. **Delivery** is governed by Paragraph 21 of the contract: mailed, hand-delivered, overnight courier, or electronic transmission, to the party **or their agent**. Paragraph K: time is of the essence, strict compliance required.

TIMELINE

- 1 Back-Up Contract executed.** Binding on execution. Earnest money and option fee due per ¶5 of the Back-Up Contract.
- 2 First Contract terminates.**
- 3 Seller delivers notice of termination.** This delivery date **is** the Amended Effective Date.
- 4 Additional earnest money + additional option fee due** within ____ days after the Amended Effective Date.

Buyer's unrestricted right to terminate begins at the Back-Up Contract's Effective Date, continues past the Amended Effective Date, and ends when the unrestricted right expires (¶J).

NEW COMPANION FORM • TREC 62-0 (VOLUNTARY)

Seller's Notice to Buyer of Removal of Contingency Under Addendum for "Back-Up" Contract. A revised version of the former Texas REALTORS exclusive form **TXR 1913**, now published by TREC (new rule 22 TAC §537.69, effective 05-28-2026). Satisfies the notice required by ¶H. The seller indicates the date the notice of termination is **delivered**; that date becomes the Amended Effective Date.

06 Practice worksheet

Pick one of your active or recent listings. Work it through.

Property address	
Groundwater district (or "none")	
District website	
Any well, including capped or unused?	Yes ☐ No ☐
Pond, lake, or tank, wet or dry?	Yes ☐ No ☐
Water supplier (exact name)	
Shared or off-property water?	Yes ☐ No ☐
Rights severed, sold, or leased?	Yes ☐ No ☐
TCEQ surface water right?	Yes ☐ No ☐
Which box in the water paragraph?	1 ☐ 2 ☐ 3 ☐ If Box 2, days to deliver:

07 This week

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- ☐ Audit active listings: **which ones did you check Box 3 on without running the five-part test?**
 - ☐ Add the six water questions to your listing presentation packet
 - ☐ Bookmark the four lookup links on page 3
 - ☐ On every live back-up contract, confirm the Amended Effective Date runs from **delivery**
 - ☐ Download TREC 62-0 now, before you need it on a Friday evening
 - ☐ Ask your broker: does our office want a completed 61-0 attached to *every* listing?
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08 Five AI prompts for water-rights prep

Use these to **organize research and prepare conversations**. Do not use AI to answer disclosure questions for a seller, interpret water law, or decide whether an exemption applies. Verify every fact against the district, TCEQ, TWDB, or the county appraisal district before it goes on a form.

1 · LISTING APPOINTMENT PREP SHEET

You are helping a Texas real estate agent prepare for a listing appointment.
Property: [ADDRESS, COUNTY].
Build me a one-page prep sheet with: (1) the six water questions I should ask the seller, phrased conversationally for a homeowner, not in legal language; (2) the documents I should ask them to look for; (3) three follow-up questions to ask if they answer "I don't know" to any of them.
Do not tell me whether any disclosure is required. I make that call from the form.

2 · PLAIN-LANGUAGE EXPLAINER FOR A NERVOUS SELLER

Rewrite the following for a homeowner in their 70s who is anxious about signing anything new. Sixth-grade reading level, warm and calm, under 200 words. Explain what this form is, what it is NOT (it is not a warranty and not an inspection), and that "I don't know" can be researched rather than guessed.
[PASTE THE FORM'S HEADER LANGUAGE AND THE QUESTION THEY'RE STUCK ON]

3 · RESEARCH CHECKLIST FOR AN UNKNOWN PROPERTY

I need to determine whether a property in [COUNTY], Texas sits inside a groundwater district, and whether any water wells are on record.
Give me a numbered research checklist naming the specific official sources to check, in order, and what to ask for when I call. For each source, note what it can and cannot tell me. Flag anything that requires an attorney or a title examination rather than a records search.

4 · BUYER-SIDE REVIEW OF A COMPLETED 61-0

Here is a completed TREC Form 61-0 for a property my buyer is under contract on. My buyer plans to [INTENDED USE, e.g. drill an irrigation well / build a barn / subdivide].
[PASTE OR DESCRIBE THE ANSWERS]
List, as questions rather than conclusions: (1) what I should ask the listing agent to clarify; (2) what I should send to the lender; (3) what I should send to the title company; (4) what warrants an attorney. Do not give me legal conclusions about water rights.

5 · CRITICAL DATE LIST FOR A BACK-UP CONTRACT

Build a critical date list for a TREC Back-Up Contract (11-9).
Back-Up Contract Effective Date: [DATE]. Notice of termination of the First Contract delivered: [DATE]. Additional earnest money / option fee due within [N] days after the Amended Effective Date. Option period: [N] days.
Calculate each date. Note that the Amended Effective Date runs from the date the seller DELIVERS notice, not the date the buyer receives it. Flag any deadline landing on a Saturday, Sunday, or Texas Legal Holiday.
I will verify every date against the executed contract.

SOURCES

TREC Form 20-19 (05-04-2026), ¶7.I · TREC Form 61-0, Seller's Disclosure About Groundwater and Surface Water Rights (05-04-2026), adopted by 22 TAC §537.68 with companion contract amendments (§§537.20, .28, .30, .31, .32) · TREC Form 11-9 (22 TAC §537.22) · TREC Form 62-0 (new rule 22 TAC §537.69, eff. 05-28-2026) · Texas REALTORS "Updates to TREC Forms," May 2026 · Sunset Advisory Commission, TREC Special-Purpose Review · TCEQ GCD map, March 2026 · TWDB · Texas Alliance of Groundwater Districts. All citations verified against the published forms on trec.texas.gov, 08-25-2026.

This handout is educational and is not legal advice. TREC rules prohibit real estate license holders from giving legal advice. Consult an attorney for questions about water rights, title, or contract interpretation.